

Shelly Group SE (BSE: SLYG / OTC: SHGPF)

– Company Context

Compiled: March 9, 2026

1. Historical Background

Founding and Origins (2003–2010)

Shelly Group traces its roots to **Teracomm Ltd**, founded in Sofia, Bulgaria in **2003** by entrepreneur **Dimitar Dimitrov** (alongside co-founder **Svetlin Todorov**). Teracomm built value-added mobile services (MVAS)—ringtones, premium SMS billing, enterprise notifications, and mobile marketing. The company expanded abroad after 2005 with offices in Romania, Macedonia, Singapore, the US, Germany, Australia, Malaysia, Thailand, Great Britain, Hungary, and operations in Serbia.

In **2010**, Dimitrov consolidated the portfolio into holding company **Allterco AD (JSCo)**, creating a listed-company structure for future ventures.

Pivot to IoT (2013–2018)

- **2013**: IoT division established within Allterco.
- **2014**: Development began on the first home automation system called “She.”
- **2015**: Major restructuring. Affiliated company **Allterco Robotics** was established, launching the **MyKi Watch** (GPS/GSM smartwatch for children)—10,000+ units sold within 6 months. Development of the Shelly home automation line began.
- **2016 (December)**: Allterco completed its **IPO on the Bulgarian Stock Exchange** (Sofia), priced at **1.45 BGN per share** (ticker: A4L, later SLYG).
- **2017**: First Shelly product introduced to market.
- **2018 (August)**: The **Shelly 1** smart relay launched and quickly gained traction on maker forums and YouTube. Its key selling point—local control without cloud lock-in—won over the DIY/tinkerer community. The Shelly 1 offered 16A capacity at a low price with built-in REST and MQTT support.
- **2018 (July)**: Allterco sold its **entire telecommunications portfolio** (five subsidiaries including Teravoice, Tera Communications, Allterpay, Teracomm RO, Tera Communications

DOOEL) to Norway's **LINK Mobility Group** for **EUR 7.9 million**, completing the strategic pivot to pure-play IoT.

Product Generations and Technology Shifts

Generation	Chip Platform	Key Features	Timeframe
Gen 1	ESP8266	Wi-Fi, local REST/MQTT, compact form factor	2017–2020
Gen 2 (Plus/Pro)	ESP32	Improved processing, Bluetooth, scripting engine	2021–2023
Gen 3	ESP32-C3	More memory, Matter support via firmware, improved power efficiency	2023–2024
Gen 4	Advanced multi-protocol SoC	Wi-Fi 6, Bluetooth 5.0, Zigbee , Matter native, 35% smaller form factor	2025+

- The **Shelly Wave** line added **Z-Wave 800 Series** support, broadening protocol coverage.
- Shelly launched a **Matter Bridge** to bring Gen 1/Gen 2 legacy devices into the Matter ecosystem.

Rebrand and Corporate Milestones

- **2021 (November)**: Allterco obtained a **secondary listing on the Frankfurt Stock Exchange** (Regulated Market, Prime Standard), under ticker SLYG.
- **2022 (February)**: Shelly brand reached **5 million cumulative devices sold**, with the last 1 million shipped in under 4 months.
- **2023 (Spring/Summer)**: Officially **rebranded from Allterco to Shelly Group AD**, aligning the corporate identity with its dominant product line. Non-core assets had been progressively divested.
- **2024 (April 29)**: Shelly shares began trading on **XETRA**, becoming the **first Bulgarian company** to trade on the platform.
- **2024 (December 16)**: Completed transformation to **Societas Europaea (SE)** status, becoming **Shelly Group SE**. Headquarters remained in Sofia; no impact on shareholders, contracts, or ISIN.
- **2025 (June)**: Market valuation surpassed **USD 1 billion**, making Shelly Group **Bulgaria's second tech unicorn** (after Payhawk).

Stock Price History

- **December 2016 IPO:** 1.45 BGN/share
- **June 2025:** ~89 BGN/share (**6,000%+ gain** from IPO)
- **52-week range (as of early 2026):** EUR 29.70–70.20
- **Market cap (February 2026):** ~EUR 2.34 billion
- **CAGR in market cap since IPO (Dec 2016–Feb 2026):** ~63%

Exchange Listings

Exchange	Ticker	Notes
Bulgarian Stock Exchange (Sofia)	SLYG	Primary listing since Dec 2016
Frankfurt Stock Exchange (Prime Standard)	SLYG	Secondary listing since Nov 2021
XETRA	SLYG	Trading since Apr 2024 (first Bulgarian company)
OTC Markets (US)	SHGPF	Pink sheets, limited liquidity

2. Management Background

Co-CEO: Dimitar Dimitrov (Founder)

- **Tenure:** Founder since 2003 (Teracomm); CEO since inception. Contract extended through **December 31, 2030**.
- **Ownership:** ~30% of outstanding shares (reduced from higher levels via secondary sales, including a 3% stake sold in October 2023 for EUR 1.3M).
- **Background:** 25+ years in technology, telecommunications, and IoT. Founded the IoT business and led R&D before assuming broader executive responsibilities. Recognized as Novinite's "Personality in the News 2021." Honored at **Webit 2025** for Outstanding Achievement in Entrepreneurship and Investment.
- **Public perception:** Regarded as a visionary founder who transformed a Bulgarian telecom outfit into a European IoT leader and the first Bulgarian-founded tech company to exceed \$1B in public market cap.

Co-CEO: Wolfgang Kirsch

- **Tenure:** Co-CEO since 2021. Contract extended through **December 31, 2028**.
- **Background:** 25+ years in European consumer electronics retail. Spent 2011–2018 at **MediaMarktSaturn Retail Group**, first as CEO of the German national subsidiary (merging the MediaMarkt and Saturn organizations, launching multi-channel strategy, growing online sales share to 15%+), then as **Chief Operating Officer** of the international group. Post-MediaMarktSaturn, consulted for McKinsey & Company and private equity firms. Responsible for Shelly's European expansion, sales strategy, and market positioning.

CFO: Svetozar Iliev, CFA

- **Tenure:** With Allterco since 2010; also serves as Managing Director of Shelly Europe EOOD.
- **Background:** 15+ years in finance, 10 in technology/media/telecom. Career began in 1999 in venture capital and corporate finance in Southeast Europe. Previously Deputy CFO at Nova Broadcasting and CFO at Diema Vision (Bulgarian media companies). Bachelor's in Business Administration from the University of Portsmouth (UK), graduated with honors. Holds the CFA designation.

Other Key Executives

Name	Role	Notes
Stamen Tasev	Head of Sales	Oversees global sales operations
Ivan Zahov	Chief Marketing Officer	Brand and marketing strategy
Denitsa Stefanova-Georgieva	Global Head of Legal	Legal affairs
Svetlin Todorov	CEO of Shelly USA; Board Member	Co-founder of Teracomm with Dimitrov. 20+ years in telecom, media, advertising. Founded an international advertising agency in 1997. Oversees US market and business partnerships.

Board of Directors (Administrative Board under SE structure)

Name	Role	Background
Gregor Bieler	Chairman	Former VP Sales & Marketing at Logitech Europe; VP & Managing Director at PayPal; Executive Board member at Microsoft Germany (responsible for partner business until 2021). CEO of Aparavi Software AG since 2021. 30+ years in digital business.
Nikolay Martinov	Deputy Chairman (Independent)	18+ years in capital markets. Career began as commodity broker (Sofia Commodity Exchange, 1991–93), then broker on Sofia Stock Exchange. Co-founder and managing partner of Impetus Capital (equity investment firm) since 2018. Master's in Computer Technology from Technical University of Sofia.
Svetlin Todorov	Board Member	See above.

3. Interesting / Unique Statistics

Device and User Metrics

Metric	Value	As Of
Cumulative devices sold	~ 30 million (28.8M as of 9M 2025, with 11M added in prior 12 months)	Late 2025
Shelly Cloud registered users	2.7 million	FY 2025
Households using Shelly devices	5.6 million (+33% YoY)	FY 2025
Daily new device activations growth	+45.5% YoY	9M 2025
Premium App subscribers	35,100 (nearly doubled YoY)	9M 2025
SaaS revenue (Premium App)	EUR 0.53 million	9M 2025
Expected new device registrations in a single year	10 million+ (first time)	2025

Revenue History and Growth

Year	Revenue (EUR M)	YoY Growth
2020	~24*	—
2021	30.4	+51%**
2022	~45.5	~50%
2023	74.9	~65%
2024	106.7	+42.4%
2025	149.7	+40.3%
2026 (guidance)	195–205	+30–37%

*Estimated from BGN 46.8M consolidated revenue. Majority from IoT; MVAS still included. *IoT device revenue specifically grew 62% in 2021.*

- **4-year revenue CAGR (2021–2025):** ~49%
- **Consistently outperforming estimated market growth** of 10–15% for 30 consecutive quarters through FY 2025.

Profitability

Metric	FY 2025
EBIT (adj. for share program)	EUR 37.7M (+42.8% YoY)
Adjusted EBIT margin	25.2%
Q3 2025 EBIT margin	29.5%
2026 EBIT guidance	EUR 47–52M (25%+ margin)
Return on equity	31.6%
ROIC	22.6%

Geographic Revenue Split (9M 2025)

Region	Share of Revenue	YoY Growth
DACH (Germany, Austria, Switzerland)	52.1%	+38.8%
Rest of Europe	36.5%	+15.6%
Rest of World	11.4%	+103.4%

The company is rapidly diversifying geographically, opening offices in the **UK, Benelux, Iberia, Nordics**, and expanding in **Asia and the US**.

Bulgaria's Tax Advantage

Bulgaria has a **flat 10% corporate income tax rate**—the lowest in the EU (compared to the EU average of ~21.3% and OECD average of ~23.9%). This structurally benefits Shelly's after-tax margins versus peers headquartered in higher-tax jurisdictions. Bulgaria has also signed double taxation treaties with 65+ countries.

Product Portfolio Breadth

As of early 2026, Shelly offers **100+ products** across categories: - Smart relays (1, 1PM, 2PM, Mini variants across generations) - Smart plugs (Plug S, Plug Gen4) - Dimmer switches - Smart lighting (RGBW bulbs, LED strips) - Sensors (motion, flood, door/window, temperature/humidity, presence) - Energy metering devices (EM, Pro 3EM, power strips) - Wall displays (touchscreen control panels with integrated sensors) - Smart buttons - Z-Wave devices (Wave line with Z-Wave 800 chipset) - Professional-grade products for commercial/installer use

Notable Records and Firsts

- **World's smallest smart relay:** Shelly 1PM Mini Gen4 (35% smaller than previous generation)
 - **First Bulgarian company traded on XETRA** (April 2024)
 - **Bulgaria's second tech unicorn** (June 2025)
 - **CES 2025 Best of Innovation Award** and Residential Systems Picks Award
 - **"Works with Home Assistant"** official partner (announced July 2025)
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4. Short Theses (Bear Cases)

Bulgarian Stock Exchange Liquidity Risk

Shelly's primary listing is on the Bulgarian Stock Exchange, which is one of the smallest in Europe. The stock trades on only ~86% of trading days, with average daily volume of ~0.01 million shares. This creates real friction for institutional investors, limits index inclusion, and can lead to wide bid-ask spreads. While the Frankfurt/XETRA secondary listing helps, the Bulgarian primary listing remains an overhang.

Working Capital and Cash Conversion Concerns

As of FY 2025, management acknowledged **working capital pressures** as a key concern. The current ratio is tight at **1.01**. The company plans to renegotiate payment terms with distributors over 2026–2027 to improve cash conversion cycles, but execution risk exists. The **EV/FCF ratio of ~218x** reflects poor free cash flow conversion relative to earnings and enterprise value.

Valuation

- **Trailing P/E:** ~42.8x
- **Forward P/E:** ~33.3x

- **EV/EBITDA:** ~32.9x
- **PEG ratio:** ~1.0

While the PEG near 1.0 suggests the valuation is roughly in line with growth, the absolute multiples are demanding. Any deceleration in growth or margin compression could lead to significant multiple contraction. The stock fell from ~70 EUR to ~37 EUR within months, suggesting the market has already begun discounting sustainability of growth.

Hardware Commoditization Risk

Shelly sells physical IoT hardware based on commodity chipsets (ESP32, etc.). Barriers to entry for basic smart relays and plugs are relatively low. Chinese competitors (Sonoff, Tuya ecosystem) can replicate functionality at lower price points. The key question is whether Shelly's firmware, ecosystem, and brand create durable differentiation or whether the market commoditizes over time.

Big Tech Competition

Apple (HomeKit), Google (Nest/Home), Amazon (Ring/Echo/Alexa), and Samsung (SmartThings) all have massive ecosystems, distribution, and brand recognition. While Shelly currently benefits from being platform-agnostic and interoperable, these giants could improve their own device offerings or change platform policies in ways that disadvantage third-party hardware makers.

Matter Standard: Double-Edged Sword

The Matter standard improves interoperability for all devices, which benefits Shelly's open-ecosystem positioning. However, it also reduces the switching cost advantage Shelly had as an "open" platform—if all devices support Matter, Shelly loses part of its differentiation. Matter also lowers engineering barriers, enabling more competitors to enter the market (~500 certified products from 200+ manufacturers by late 2025).

Concentration Risk

DACH (primarily Germany) accounts for over 50% of revenue. Any economic downturn, regulatory change, or competitive shift in the German market would disproportionately impact results.

Product Launch Delays

Management has acknowledged delays in bringing certain products to market, particularly **indoor cameras**. As Shelly expands into new categories (cameras, smart locks, energy management), execution risk increases.

Key-Man Risk

Dimitar Dimitrov is the founder, ~30% shareholder, and driving force. His periodic share sales (e.g., the October 2023 3% stake sale) can create negative signals. Succession planning is partially addressed by the Co-CEO structure with Kirsch.

Limited Analyst Coverage

Only 2 analysts actively cover the stock (both with Buy ratings, target ~EUR 73–80). Limited coverage means less price discovery, less institutional awareness, and higher risk of mispricing.

5. Major Competitors

Direct Competitors

Sonoff (ITEAD / Shenzhen Sonoff Technologies)

- **Description:** Chinese manufacturer of budget-to-midrange smart switches, plugs, and sensors. Owned by ITEAD Intelligent Systems (Shenzhen). Private company, estimated annual revenue >USD 6M (though likely significantly higher given market presence). Founded 2009.
- **Advantages vs Shelly:** Lower price points; larger global market share in DIY segment; historically stronger brand in budget-conscious markets; hackable firmware community (Tasmota origin).
- **Disadvantages vs Shelly:** Inferior build quality; no native MQTT/REST support (requires third-party firmware for local control); less robust firmware; less professional/installer-focused; primarily cloud-dependent out of box; no European certification focus; company is private with less transparent governance.

Tuya Smart (NYSE: TUYA)

- **Description:** Chinese IoT PaaS platform powering **white-label smart devices** for thousands of OEM brands across 100+ countries. Founded 2014, headquartered in Hangzhou. Revenue: ~USD 312M (TTM March 2025). Dual-listed on NYSE and HKEX.
- **Advantages vs Shelly:** Massive scale (powers devices from thousands of brands); platform/ecosystem play with recurring SaaS revenue; broad protocol coverage; established OEM relationships; significantly larger revenue base.
- **Disadvantages vs Shelly:** Not a consumer brand (white-label model creates no end-user loyalty); devices using Tuya firmware are often cloud-dependent with limited local control;

generic experience across brands; privacy concerns around Chinese cloud infrastructure; only recently reached GAAP profitability (FY 2024: USD 5M net income). Tuya is a platform, not a direct competitor on hardware quality.

Aqara (Lumi United Technology)

- **Description:** Chinese smart home brand focused on Zigbee-based sensors, switches, and hubs. Strong Apple HomeKit integration. Growing Matter/Thread support. Private company based in Shenzhen.
- **Advantages vs Shelly:** Deep Zigbee mesh networking expertise; strong Apple HomeKit native support; excellent sensor lineup (especially presence sensors); hub-based architecture allows very low power sensor devices (battery-operated); competitive pricing.
- **Disadvantages vs Shelly:** Requires a hub for most devices (Shelly works directly via Wi-Fi); less robust local API/scripting; smaller relay/switch portfolio; less European market presence; concerns about long-term cloud/data dependency on Chinese infrastructure.

Plejd (Nasdaq First North: PLEJD)

- **Description:** Swedish smart lighting and home automation company targeting professional electricians and installers. Founded 2011, headquartered in Gothenburg. Listed on Nasdaq First North Growth Market. Revenue: ~SEK 600M (~EUR 53M) in 2024. Uses Bluetooth mesh technology for its behind-the-wall dimmers, relays, and lighting controls.
- **Advantages vs Shelly:** Strong professional/installer brand in Nordics; deeply embedded in electrician workflows with dedicated installer app and certification programs; excellent build quality and reliability reputation; Bluetooth mesh provides robust local communication without Wi-Fi dependency; growing presence in DACH markets—directly competing in Shelly's largest region.
- **Disadvantages vs Shelly:** Much narrower product portfolio (primarily dimmers and relays, no sensors, cameras, or plugs); Bluetooth mesh-only protocol limits interoperability vs Shelly's multi-protocol approach; smaller geographic footprint (primarily Nordics, expanding into DACH); no local REST API or MQTT support for DIY users; significantly smaller scale (~1/3 of Shelly's revenue); less appealing to the DIY/tinkerer community.

Tasmota / ESPHome (Open-Source Ecosystem)

- **Description:** Not a company but open-source firmware projects that can be flashed onto ESP-based hardware (including Shelly devices). Tasmota and ESPHome provide full local control with Home Assistant integration.
- **Advantages vs Shelly:** Complete customization; truly open-source; community-driven development; works with many hardware brands; no vendor lock-in whatsoever.

- **Disadvantages vs Shelly:** Requires technical expertise to flash and configure; no warranty when flashing third-party firmware; no commercial support; no plug-and-play experience for mainstream consumers or professionals. Note: Shelly's own firmware already provides local control and open APIs, making flashing less necessary than with competing hardware.

Indirect Competitors (Big Tech Ecosystems)

Amazon (Ring / Echo / Alexa)

- **Description:** Dominant smart home ecosystem with Alexa voice assistant, Ring doorbells/cameras, Echo speakers, and Blink cameras. Massive distribution and brand.
- **Advantages vs Shelly:** Unmatched distribution and brand recognition; end-to-end ecosystem (voice, security, entertainment); largest smart home device compatibility list; deep pockets for R&D and marketing.
- **Disadvantages vs Shelly:** Cloud-dependent architecture; privacy concerns; proprietary ecosystem with lock-in tendencies; not focused on behind-the-wall relay/switch market where Shelly excels; significantly higher price points for comparable devices; subscription fees for some features.

Google (Nest / Home)

- **Description:** Smart home ecosystem with Google Home app, Nest thermostats/cameras/doorbells, and Google Assistant.
- **Advantages vs Shelly:** Best-in-class voice AI; strong hardware design; integration with Google services; large user base; invested USD 150M in late 2025 to boost Nest production by 40%.
- **Disadvantages vs Shelly:** Cloud-dependent; limited product range in switches/relays; premium pricing; less DIY-friendly; historically unstable smart home strategy (killed Works with Nest, various platform changes).

Apple (HomeKit / Home)

- **Description:** Privacy-focused smart home platform integrated into iOS/macOS. Hardware includes HomePod speakers and Apple TV as hubs.
- **Advantages vs Shelly:** Best-in-class privacy and security; premium brand; tight integration with Apple device ecosystem (~2B active devices); Thread/Matter leadership.
- **Disadvantages vs Shelly:** Restricted to Apple users; limited first-party hardware; historically strict and limiting HomeKit certification process; premium price positioning excludes budget-conscious consumers; Shelly devices already integrate with Apple Home via Matter.

Samsung SmartThings

- **Description:** Platform-agnostic smart home hub and app. In 2026, regarded as the most interoperable and device-agnostic ecosystem.
- **Advantages vs Shelly:** Broad device compatibility; strong hub with Zigbee/Z-Wave/Matter/Thread; Samsung brand and appliance integration.
- **Disadvantages vs Shelly:** SmartThings is a platform, not a device maker in the relay/switch category; cloud dependency for some features; Samsung's smart home strategy has shifted multiple times.

Philips Hue (Signify)

- **Description:** Premium smart lighting brand using Zigbee protocol with proprietary hub.
- **Advantages vs Shelly:** Established brand in smart lighting; excellent app and ecosystem; wide range of bulbs, strips, and fixtures; strong retail presence.
- **Disadvantages vs Shelly:** Narrow focus (lighting only); significantly more expensive; requires proprietary hub; Shelly's relay approach can make any existing light fixture smart at a fraction of the cost without replacing bulbs.

TP-Link (Tapo / Kasa)

- **Description:** Networking giant's smart home brand offering plugs, switches, cameras, and sensors at competitive prices.
- **Advantages vs Shelly:** Strong brand in networking; competitive pricing; wide retail distribution; good app experience.
- **Disadvantages vs Shelly:** Cloud-dependent; no local API/MQTT support; limited behind-the-wall products; less popular with DIY/automation community.

Shelly's Unique Positioning

Shelly occupies a distinctive niche at the intersection of several attributes that no single competitor matches simultaneously:

1. **Open ecosystem with local-first architecture:** Full REST API, MQTT, and scripting on-device. Cloud is optional.
2. **Low price point:** Competitive with Chinese alternatives while offering European quality and certification.
3. **Multi-protocol support:** Wi-Fi, Bluetooth, Zigbee, Z-Wave, Matter—broadest protocol coverage of any single brand.
4. **Behind-the-wall form factor:** Compact relays that fit inside existing switch boxes, making any home "smart" without visible hardware changes.
5. **Professional/installer channel:** Growing B2B business alongside consumer retail.

6. **Platform agnostic:** Works with Alexa, Google Home, Apple HomeKit, Home Assistant, SmartThings, and others.

7. **European HQ with low tax structure:** Bulgarian 10% corporate tax rate provides structural margin advantage.

Note: Information compiled from public sources. Some early-year revenue figures (2019 and earlier) are estimates derived from reported growth rates and may not be exact. OTC ticker confirmed as SHGPF (not SHELly as sometimes referenced). Management ownership percentages reflect approximate levels as of available reporting and may have changed due to subsequent transactions.